CASE STUDY · MARKETING GROWTH AUDIT

SPECIALTY COFFEE SHOP

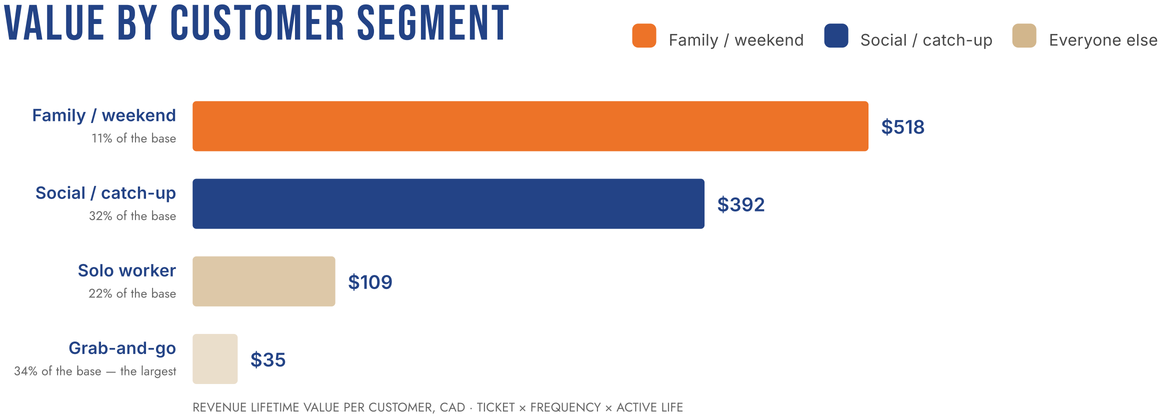
DEMONSTRATION CASE · VICTORIA, BC

A busy café with 2,350 monthly customers and no idea which of them paid the bills. It ran a discount that felt like it was working, spent a third of its media budget on channels that returned nothing, and marketed to the segment worth the least. Dwelve read 12 months of its own receipts and found $6.7–8.4k of monthly gross profit sitting inside the business it already had.

2,350	**$63.6K**	**14.8×**	**74%**	**−$1.17K**	**+$6.7–8.4K**
Customers segmented	Revenue per month	Best vs worst segment LTV	Of revenue from 43.8% of customers	Gross profit lost monthly to one promo	Monthly GP opportunity
12 months	$40.8K gross profit	$518 vs $35	social + family	happy hour	same ad budget

THE FINDING

LIFETIME VALUE BY CUSTOMER SEGMENT



Source: Dwelve segmentation of 2,350 monthly customers over 12 months — receipt-level baskets, visit context and staff-tagged visit reasons. Figures illustrative.

The café's most valuable customer — a family / weekend visitor worth **$518** — was **11%** of the base and had no offer aimed at them; reviews said the place was not kid-friendly. The largest group, grab-and-go at 34%, returned **$35** — one fifteenth as much — and was where the acquisition budget went. Together the two high-value segments were 43.8% of customers and **74% of revenue**. The business was not short of customers; it was growing the wrong ones.

How these numbers were built

- **Segments come from behaviour, not demographics.** Customers are grouped by the job they came to do — read from receipt baskets, dine-in vs takeaway, party size and time of day — because that is what an offer can actually be aimed at.
- **Active life is cross-sectional** — the churn point observed inside a 12-month window, not one cohort followed for years. Beyond that window the ladder is a model, and the full report marks it as one.
- **Gross margin is measured, not assumed** — 64.1% weighted across all 28 menu positions from unit costs, which is what makes the promotion verdicts arithmetic rather than opinion.
- **Revenue LTV** = average ticket × visit frequency × active life. Every input is observed in the export; none is a category benchmark.
- **LTV is stated on revenue**, because that is the number an owner recognises. Every return, target and net figure on the next page is stated on **gross profit** instead.
- **What is modelled is labelled.** Happy Hour is computed on the actual configured mechanic; two other promos lacked full redemption logs, so those carry working models flagged for replacement at validation.

HOW THE REVIEW WORKS

YOUR OWN NUMBERS FIRST. OPINION LAST.

01

Your records, not benchmarks

2,350 customers grouped by the job they hired the café for. Every conclusion in the report traces back to a row in the export — and where it cannot, it is labelled an estimate and graded.

02

Every claim carries its arithmetic

Break-even volume before a discount is judged. Gross profit, never revenue, behind every channel call. Overlap between levers deducted explicitly, so the total is smaller than the sum — and honest.

03

A plan you can hold us to

Ninety days, sequenced and budgeted, with an owner and a lead KPI on every initiative — and four checkpoints that each force a decision rather than a status update.

Delivered — Segment & LTV analysis · Competitive scan & PEST · 28-SKU menu economics · Promotion autopsies · Channel mix rebuild · Retention engine · Digital journey · 90-day roadmap

THE RECOMMENDATION

STOP SELLING COFFEE. START SELLING THE MEETING.

Five nearby alternatives — two chains, a grab-and-go specialty bar, a specialty-plus-brunch café and a bakery — and **not one** owned the combination the reviews said this café already half-had: specialty quality, a calm social atmosphere, shareable food and family-friendly details. Of 94 public reviews, **67%** of positive mentions were about the space and **41%** about catching up with someone — while the website, the Instagram bio and the Google listing all still talked about bean origin. Customers had already hired the café for the job it refused to advertise.

> **Stop competing on whose coffee is better. Become the neighbourhood spot to catch up — and monetize the occasion, not the cup.**
>
> MARKETING GROWTH AUDIT · POSITIONING RECOMMENDATION

PROJECTED IMPACT

THREE PHASES, STATED ON GROSS PROFIT.

The 90-day roadmap is sequenced so that the phase which **costs nothing** pays first. Every figure below is monthly gross profit at steady state — not revenue, and not a one-off.

DAYS 1–14 · COSTS NOTHING

Control

+$1.2-1.5K GP / MO

Switch off Happy Hour, boosted posts and generic flyers — three things already running that lose money. Turn on source, segment and promo tagging so nothing after this is guesswork.

COST $0–400 · PAYS BACK IMMEDIATELY

DAYS 15–30 · THE TICKET

Monetize

+$1.0-1.5K GP / MO

Trim the tail of the menu, put food where the wallet is already open, launch the pair bundle and the counter script. Rewrite the hero line on the site and the Google listing.

COST $300–1,100

DAYS 31–90 · THE SECOND VISIT

Retain & scale

+$0.8-1.3K GP / MO, THEN THE REST

Engineer the return visit: consent capture, a 7-day offer, 30/60/90 reactivation, a referral pilot and the family layer. Then scale only what the data proved, at the same budget.

COST $350–1,000 · THEN BUDGET-NEUTRAL

Why the phases don't simply add up

Taken independently the five levers total **$7.3–9.0k** of gross profit a month. A bundle sale and a mix-shift sale can be the same sale, and no business executes a plan perfectly — so **$0.6k** is deducted for overlap and incomplete execution before the target is stated. The steady state is **+$6.7–8.4k GP** and +$10.2–12.8k revenue per month: annualized, +$80–101k of gross profit.

DEDUCTION · STATED EXPLICITLY

The ad budget does not grow

All of it comes out of the same **$3.6k** a month the café already spends. Today **36%** of that sits in boosted posts and flyers at a cost per customer of $33–67 and a return at or below zero, while the two cheapest sources of ready demand — the Google listing and the customer list — are unmanaged. Reallocated, cost per new customer falls from **$18.95 to $9–12** and blended return on marketing moves from ~74% to **220–245%**.

SAME SPEND · DIFFERENT DESTINATION

The verdict that pays first is a subtraction

Happy Hour needed **+34.5%** more transactions to break even on the discount. It delivered **+18%**. That 16.5-point gap is **$1.17k of gross profit destroyed every month** by a promotion that looked successful, because traffic did rise — and it trained regulars to wait for the discount. The single most profitable recommendation in the report costs nothing to implement.

COMPUTED ON THE LIVE MECHANIC

Demonstration case. Built on a representative business to show the depth and format of a Dwelve marketing review. The café, its competitors and every figure are illustrative — method and ratios are real, absolute values are not any client's own. The projections are produced by the review's own model: a plan, not an achieved result, and not a guarantee of growth. Client results are reported to the client and are not published.

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MARKETING REVIEWS & GROWTH ADVISORY FOR SMALL BUSINESS

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